

National University of Computer and Emerging Sciences
Lahore Campus

Financial Accounting (AF 1002)

(All sections BBA, BSAF,
BSBA)

Date of Exam: 26 May 2025

Course Instructor(s)

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Final Exam

Total Time: 3 Hours

Total Marks: 100

Total Questions: 5

Student Name

Roll No

Section

Student Signature

Instruction/Notes:

1. Attempt all questions. Read the question carefully, understand the question, and then attempt it.
 2. Present your answers clearly. Marks may be lost for untidy work.
 3. Marks will be awarded for proper layout.
 4. **Enter your roll number in the space provided above and return the question paper along with the answer booklet.**
 5. **You are not allowed to ask any questions from the invigilator regarding the paper. If in doubt, make and list assumptions and carry on**
 6. Show all workings
 7. Calculator sharing is strictly prohibited.
 8. Use permanent ink pens only. Any part done using soft pencil will not be marked and cannot be claimed for rechecking.
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CLO 1: Describe the regulatory framework of financial reporting(BT: Understand)

Question 1 (5 marks)

The three types of business entity are: sole proprietorship, partnership and limited company. **List the advantages and disadvantages of a *Limited Company*.**

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CLO 5: Prepare financial statements of companies (BT: Apply) / CLO 7: Apply reporting standards relevant at this level (BT: Apply)

Question 2 (25 marks)

The balance sheets of M Limited for the last two years are shown below:

	31 December 2024	31 December 2023
	\$'000	\$'000
Non-current assets		
At cost	3,400	3,200
Accumulated depreciation	(260)	(240)
	3,140	2,960
Current assets		
Inventory	340	320
Trade receivables	230	260
Bank	210	190
	780	770
Current liabilities		
Trade payables	(232)	(200)
Taxation	(68)	(70)
	(300)	(270)
Non-current liabilities		
10% debentures	(120)	(100)
	3,500	3,360
Equity		
Share capital (\$1 shares)	2,700	2,500
Share premium account	300	200
General reserves	200	150
Retained profits	300	510
	3,500	3,360

Additional information:

- (i) Operating profit for the year amounted to \$340,000.
- (ii) Current year depreciation charge on non-current assets amounted to \$140,000
- (iii) Some new non-current assets were purchased for \$400,000 during the year whereas some assets which had a carrying value of \$80,000 were sold for \$70,000
- (iv) A new issue of debentures was made on 1 January 2024
- (v) Interest expense charged to income statement amounted to \$12,000
- (vi) Company paid ordinary share dividend of \$420,000 during the year
- (vii) 200,000 equity shares of \$1 were issued on 1 July 2024 at \$1.50 per share

Required:

- (a) Prepare statement of cash flows for the year ended 31 December, 2024 using the indirect method as per IAS 7 (20 marks)
- (b) Explain the importance of cash flow statements (5 marks)

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CLO 5: Prepare financial statements of companies (BT: Apply)

Question 3 (30 marks)

The following trial balance was extracted from the books of Apollo Limited on 31 December, 2024:

	Dr (\$)	Cr(\$)
Sales revenue		2,640,300
Administration expenses	271,680	
Distribution costs	172,720	
Interest paid on debentures	10,000	
Purchases	2,089,600	
Inventory at January 1, 2024	318,500	
Bank	20,640	
Trade receivables	415,800	
Provision for doubtful debts at 1 January, 2024		10,074
Bad Debts (Distribution Costs)	8,900	
Trade payables		428,250
10% Debentures		250,000
Motor expenses (Administration Expenses)	12,280	
Bank Interest	7,720	
Dividends paid	20,000	
Office equipment at carrying value	110,060	
Vehicles at carrying value	235,000	
Ordinary shares of 50c each		220,000
Retained profits at 1 January, 2024		144,276
	3,692,900	3,692,900

Additional information:

- (i) Debenture interest of \$15,000 is accrued, to be paid on 1 January 2025
- (ii) Administrative expenses paid in advance at 31 December 2024 amounted to \$12,200 and distribution costs of \$21,300 are owing at 31 December 2024
- (iii) Provision for doubtful debts is to be maintained at 3% of receivables
- (iv) Inventory at 31 December 2024 was valued at \$340,600
- (v) Tax of \$45,000 is to be provided for
- (vi) Depreciation on the non-current assets has already been calculated for the year and charged to administrative expenses and distribution costs accordingly

Required:

Prepare Apollo's **Income Statement and Statement of Changes in Equity for the year ended 31 December 2024 along with a Balance Sheet** as at that date.

(Please follow the required format otherwise marks will be deducted)

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CLO 6: Perform basic financial statement analysis, including interpreting key financial ratios and performance indicators (BT: Analyze)

Question 4 (20 marks)

Sun and Cloud are two businesses that compete in the same market and have been trading for a number of years.

The following information relates to their results for the year ended 31 December 2024:

	<u>Sun</u>	<u>Cloud</u>
	\$'000	\$'000
Sales	4 000	4 600
Cost of sales	2 285	2 300
Net profit	960	990
Inventory at 1 January	690	455
Inventory at 31 December	910	435
Capital employed	2 218	1 733
Trade receivables	470	1 230
Bank balance	50	940
Trade payables	650	620

There are no other current assets or current liabilities.

Required:

(a) Calculate the following ratios (to two decimal places) for each of the two businesses (12 marks)

- (i) Return on capital employed
- (ii) Gross profit as a percentage of sales
- (iii) Net profit as a percentage of sales
- (iv) Current ratio
- (v) Acid test ratio
- (vi) Inventory turnover ratio (in times)

(b) Discuss which of the two businesses appears to be performing better (8 marks)

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CLO 5: Prepare financial statements for partnerships (BT: Apply)

Question 5 (20 marks)

P & Q are in partnership sharing profits and losses in accordance with their partnership agreement which states the following:

- (i) Interest on capital is allowed at 5% per annum
- (ii) Salary to be paid to P of \$ 6,000 per annum
- (iii) Interest to be charged on each partner's total drawings at 6% per annum on the year end balances
- (iv) The balance of profits is shared between P & Q in the ration 3:2

The balances on the partners' capital accounts at 1 April 2024 were:

P: \$60,000

Q: \$40,000

The balances on the partners' current accounts at 1 April 2024 were:

P: \$3,400 (credit)

Q: \$1,200 (debit)

The partners' drawings for the year ended 31 March 2025 were:

P: \$ 26,000

Q: \$ 24,000

The net profit of the partnership for the year ended 31 March 2025 was \$66,000.

Required:

- (a) Prepare an Appropriation Account for the partnership for the year ended 31 March 2025**
- (b) Prepare current account of both partners for the year ended 31 March 2025**
